

The Contenders

I wish I could tell you that Big Bank is alone in their wicked ways, but many of the credit card companies are throwing their hat in the ring for the “bad boy” competition. According to Houston attorney Robert Hinsley of consumersdefense.com, there are a lot of serious contenders for the title:

- ✓ \$45 million settlement; Citibank; alleged to have improperly assessed late fees.
- ✓ \$36 million settlement; Sears; allegedly raised interest rates after they stated that they would not raise rates.
- ✓ \$8 million settlement; MBNA; alleged to have improperly assessed late fees.
- ✓ \$7.2 million settlement; Advanta; allegedly charged higher interest rates to customers who were promised a low rate.

Notice the key word in all the sentences above – they all settled. They stayed out of court and stayed on their course. What’s \$45 million in fines to Citibank, after all? They can pay a settlement like that and still stay one of the top players in the most profitable industry in America.

One suspects that it is like the NASCAR teams, making illegal modifications to their racecars, hoping that no one will notice, and if they do notice, it’s a slap on the wrist, a fine to pay, and life goes on just the same way. When the consumer lenders do get challenged, they pay their settlements with a wink and a shrug, and the next week, the aggressive practices continue. The unscrupulous practices appear to go on, and the government is winking right back at them.

And More Bad Boys

Another apparent rival to the throne is industry giant Capital One, who was sued over its alleged marketing ploys. MSNBC.com’s Bob Sullivan reported that the Minnesota state attorney’s office claimed Capital One misled consumers with promises of fixed interest rates, and then raised those rates – by 400% in some cases!

The lawsuit was initiated when a Minnesota resident signed up for a Capital One card after seeing a commercial on television. She specifically